

You should define deadlines for submitting reimbursement claims so that they can be paid in a timely manner. You may also process reimbursement claims in between the pay cycle using Off Cycle Payment. Let's understand the types of reimbursements that are commonly paid by organizations.

Types of Reimbursement

The most popular reimbursements include the following

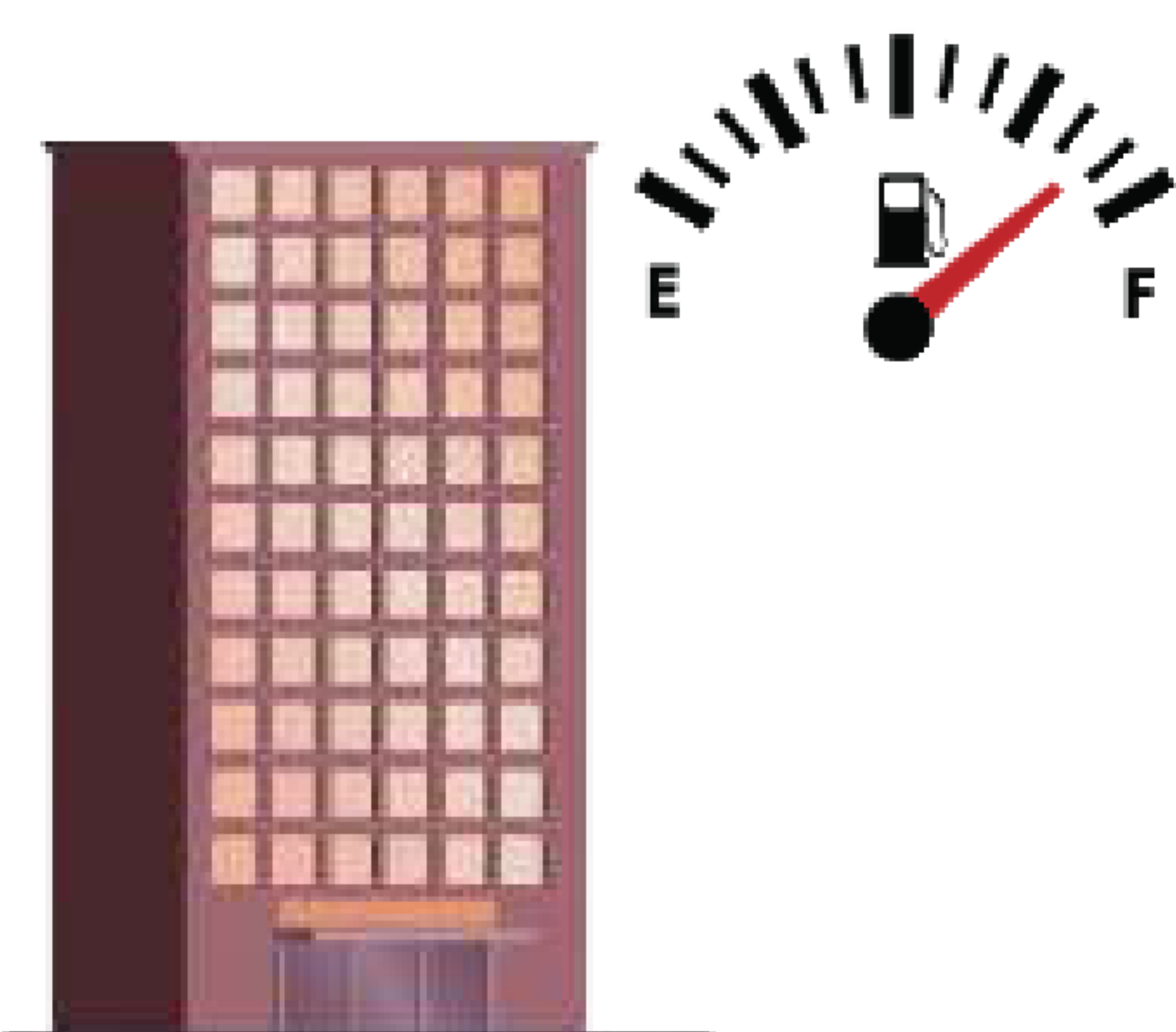
1. Local Conveyance Reimbursement



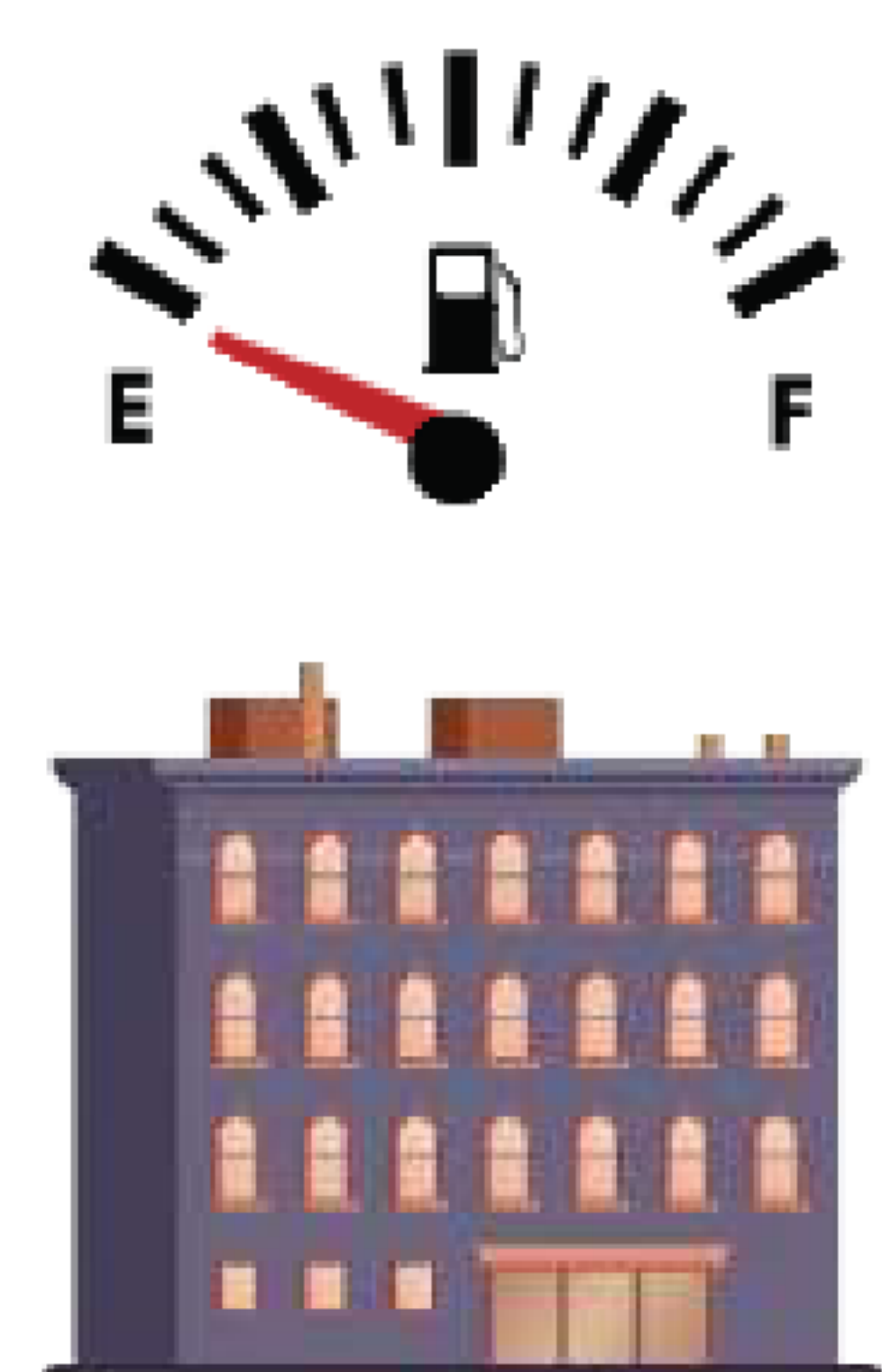
It refers to local travel within the city for business purposes. It includes the cost of public transportation, taxis and rental cars. You may also reimburse food expenses while employee is on local travel.

2. Fuel Reimbursement

INR 200 Petrol



Office



Home

Fuel reimbursement is offered separately to the employees who use their own vehicles for the business purpose. This is often added to the employees' CTC. Employees can then avail tax exemption on the amount spent for official purposes. It includes the cost of fuel, vehicle maintenance, parking and toll charges. The employee must submit the travel log for the official journey, including date of the travel, destination, and travel distance.